

BUSINESS HIGH-Level Assessment Exam #2 (2026-SM1)

PRACTICE TEST B

Covering: Unit 1, LPs 1-5, 1-6, 1-7, 1-8, 1-9 and 1-10

STUDENT NAME: _____ PERIOD: _____

WRITE HONOR CODE/ STUDENT SIGNATURE BELOW:

STUDENT SIGNATURE: _____

1) Risk Management is defined as: (True/False)

Audits, safety, integrity, accuracy.

TRUE FALSE

MATCH the FOLLOWING:

- Relevant Data
- Raw Data
- Trade Secrets

2) _____: Only useful data, collected/stored; info used to make decisions

3) _____: Info/data before it becomes useful info

4) _____: Not known outside of the company, with "economic value"

5) Information Management ORGANIZES information. Tell me 2 of the 3 ways:

_____ and _____

6) Choose RAW or RELEVANT data and give an example:

Type of data: _____

Explanation: _____

7) Cyber security protects sensitive info and trade secrets, and stops _____ attacks.

8) TRUE / FALSE _____ Intangible assets have value but are not physical.

9) TRUE / FALSE _____ Intellectual Property is defined as:

Not known outside of the company, with "economic value."

***Using the GROSS PROFIT EQUATION, fill in the FOLLOWING:**

A Nike shoe sells for \$100. Its COGS (material, labor, rubber, glue) is \$25.

10) _____: Gross profit (sales revenue - COGS)

11) _____: Gross margin % (gross profit / sales price)

*** Match the following:**

Goes Up

Goes Down

12) _____: When COGS goes UP, gross profit _____

13) _____: When COGS goes UP, gross margin % _____

14) _____: When COGS goes DOWN, gross profit _____

15) _____: When COGS goes DOWN, gross margin % _____

16) **TRUE / FALSE** _____ The industry standard gross profit margin for tech companies is 70%.

17) **TRUE / FALSE** _____ Gross margin % = sales price divided by gross profit.

18) The BELOW are all examples of business _____

***Match the following:**

- Direct Sales
- D2C
- Bricks + Clicks
- Crowdfunding
- MLM

19) Selling directly to consumers in a non-retail environment, like door to door (Mary Kay).

Correct answer: _____

20) Direct to Consumer: no middlemen (Tesla).

Correct answer: _____

21) Stores plus online ordering for pickup or delivery (Target, Walmart, Kohl's).

Correct answer: _____

22) Raising small amounts of money from many people (Kickstarter, GoFundMe).

Correct answer: _____

23) Multi-level marketing: sellers earn from their own sales and from recruiting others.

Correct answer: _____

24) Platform user experiences are based on exact human (consumer) behavior: emotions, feelings, thoughts, impulses.

TRUE FALSE

25) Which business model is "buy cheap, sell cheap," like Dollar Tree?

- A) Brick + Mortar
- B) Crowdfunding
- C) MLM
- D) Nickel + Dime

26) Nevada Power is an example of a:

- A) regulated monopoly
- B) oligopoly
- C) pure competition
- D) monopolistic competition

*** MATCH THE FOLLOWING:**

- Direct
- Indirect
- Pure Competition
- Oligopoly
- Monopoly

27) _____ : Offers the same product/service (Target vs. Walmart)

28) _____ : Product/service not the same, but satisfies the same need (bus vs. plane)

29) _____ : Same product/price, low barriers (agriculture)

30) _____ : Control of goods/services, high barriers (airlines, wireless carriers)

31) _____ : Corners the market; illegal

32) TRUE / FALSE _____ The Internet of Things (IoT) is a network of devices connected to the internet that identify themselves and communicate with other devices and systems.

33) TRUE / FALSE _____ In a C corporation, taxes "pass thru" to the shareholders only.

34) What is Operations? Tell me the 3 things it manages. (2 points)

35) Information Management is one of the 6 business functions. Name the 3 things it involves. (3 points)

1. _____
2. _____
3. _____

36) COMPETITIVE ANALYSIS: What can Tesla do to compete with BMW and Mercedes? Give both options. (2 points)

Option 1: _____

Option 2: _____

MATCH and EXPLAIN WITH EXAMPLE:

- Ambient Intelligence
- Augmented Reality
- Gig Economy

37)_____ when many objects act in unison (2 points)

Explanation: _____

38)_____ a technology trend used by IKEA and Sephora (2 points)

Explanation: _____

39)_____ contract workers who work for multiple companies, often remote (2 points)

Explanation: _____

40) Research a "cyber" breach. What data? Who was affected? How many? Effects? (4 points)

What data: _____

Who was affected: _____

How many: _____

Effects: _____

ANSWER KEY: PRACTICE TEST B

Questions 1-33 are 1 point each. 34-40 are worth 17 points. Total: 50 points.

- 1) **TRUE.** Risk management: audits, safety, integrity, accuracy.
- 2) **Relevant Data.** Relevant data ("accessible + useful").
- 3) **Raw Data.**
- 4) **Trade Secrets.**
- 5) **Any 2 of: search, retrieve, archive.** Organizes: search, retrieve, archive.
- 6) **Raw: 100 people attended a movie premiere. Relevant: of those 100 people, 50 were 40-60 years old, 30 were 20-30, and 20 were 18 and below.**
- 7) **ransom.** Ransom attacks.
- 8) **TRUE.** A trade secret like the Coke formula is one.
- 9) **FALSE.** That is trade secrets. Intellectual property is ideas, inventions, methods.
- 10) **\$75.** $\$100 - \$25 = \$75$.
- 11) **75%.** $\$75 / \$100 = 75\%$.
- 12) **Goes Down.** COGS up: gross profit goes down.
- 13) **Goes Down.** COGS up: gross margin % goes down.
- 14) **Goes Up.** COGS down: gross profit goes up.
- 15) **Goes Up.** COGS down: gross margin % goes up.
- 16) **TRUE.** Manufacturers are 25-35%.
- 17) **FALSE.** It's gross profit divided by sales price: $\$12 / \$20 = 60\%$.
- 18) **Models.** They are business models, and a company chooses its business model.
- 19) **Direct Sales.**
- 20) **D2C.**
- 21) **Bricks + Clicks.**
- 22) **Crowdfunding.**
- 23) **MLM.**
- 24) **TRUE.** That line is on the board.
- 25) **D) Nickel + Dime.** Nickel + dime.
- 26) **A) regulated monopoly.** A regulated monopoly: a "utility" the FTC allows, like Nevada Power.
- 27) **Direct.** Direct competition.
- 28) **Indirect.** Indirect competition.
- 29) **Pure Competition.**
- 30) **Oligopoly.**
- 31) **Monopoly.**
- 32) **TRUE.** Refrigerators, thermostats, lights, cars, smart clothes.
- 33) **FALSE.** Pass-through is the S corporation. A C corporation has double taxation.
- 34) **(2 points)** Operations is the daily functioning of an organization, the day to day where the execution of strategy happens. It manages inputs and outputs: manufacture, purchase, logistics.
 - 1 point: the daily functioning of an organization, where the execution of strategy happens.
 - 1 point: it manages inputs/outputs: manufacture, purchase, logistics.
- 35) **(3 points)** People, processes, systems.
 - 1 point each: people, processes, systems.

36) (2 points) 1) Improve quality and choice but keep the price. 2) Offer a higher-end luxury Tesla at a higher price and compete directly.

- 1 point: improve quality and give more choice, but maintain pricing.
- 1 point: offer a "higher end" luxury auto, raise the price, and compete directly with BMW and Mercedes.

37) Ambient Intelligence. Ambient intelligence: many connected objects acting in unison. Automated checkout, FedEx, Amazon, telemedicine.

- 1 point: Ambient Intelligence.
- 1 point: an example: automated checkout, FedEx, Amazon, or telemedicine.

38) Augmented Reality. Augmented reality: IKEA, Sephora.

- 1 point: Augmented Reality.
- 1 point: an example: IKEA's app shows furniture in your room; Sephora shows makeup on your face.

39) Gig Economy. Gig economy: Uber, Uber Eats, Lyft, dog walkers.

- 1 point: Gig Economy.
- 1 point: an example: Uber, Uber Eats, Lyft, or a dog walker.

40) (4 points) Example, MGM Resorts (September 2023): hackers got customers' names, contact info, birthdates and driver's license numbers; it hit customers from before March 2019; MGM never said how many; systems were down about 8 days and it cost about \$100 million. Any real breach works if all four parts are answered.

- 1 point: what data (for MGM Resorts, 2023: names, phone numbers, emails, addresses, birthdates, driver's license numbers).
- 1 point: who (MGM customers from before March 2019).
- 1 point: how many (MGM never released a number; give the number for the breach you researched).
- 1 point: effects (MGM: hotels and casino systems down for about 8 days, about \$100 million in losses).